

The Complete Financial Guide for Young Couples

On each sheet is written how much can be spent per month (or pay period). For instance, suppose your miscellaneous car allowance is \$100 per month, excluding payments, and let's assume, for simplicity's sake, that you get paid twice per month, on the 1st and 15th.

On the 1st you would reflect a \$50 deposit on the car account sheet. Then you write a check for \$20 to buy gasoline. On the account sheet, you deduct \$20 from \$50, leaving \$30. Then you buy some oil for \$12, leaving \$18. On the 15th, you're paid again. All of the money (except cash needed) goes into the checking account and is spread across the various account sheets. In our example, the car account sheet would get another \$50 deposit, leaving a \$68 balance.

The way the budget works is that the amount left on the account sheets tells you how much you have left to spend in any category, just as an envelope would. What makes this system work is a commitment to keep it up to date, which will take about 60 minutes per month, and a commitment to spend according to the account sheets, not your checking account balance.

Nothing keeps you from robbing one account to feed another, but at least it forces you to think about what you're doing, and that's all any budget can do. Most people spend out of their checkbooks. If they have money left in their account, they think it's a windfall profit. But, in reality, it's expenses that haven't come due yet.

SPENDING DIARIES

It's not uncommon for a couple to have little or no idea of what they actually spend on items such as vacations, gifts, or miscellaneous purchases. There are two methods I have used to determine this. One is to review their spending for the previous year. However, if they primarily used cash, the records probably aren't available.

A second method is to keep diaries (husband *and* wife) for at least one entire month. Then by combining both diaries, they have a picture of their actual spending. But there is still